Executive Summary

- Prioritise retention outreach for clients with < 5 years tenure and low-consumption profiles.
- Avoid blanket discounting. A targeted, segment-specific approach will better protect PowerCo's margin.

Recommended Solution

- PowerCo provides gas and electricity to SME clients in an increasingly competitive energy market.
- BCG X was engaged to identify the drivers of customer churn and build a predictive model to enable targeted retention.

Situation

- 9.7% of clients churned - roughly 1 in 10 customers lost.
- Churn is highest for newer customers: 11.5% for <5 yr tenure vs. 7% for 5–10 yr tenure.
- Low-consumption customers are disproportionately at risk.
- Counterintuitively, churned customers had higher average gross margins.

Complication

Is price sensitivity the primary driver of SME customer churn at PowerCo?

- Price is a contributing factor but is not the primary driver.
- Consumption volume, customer tenure, and margin variables are stronger predictors than price features alone.

Question